



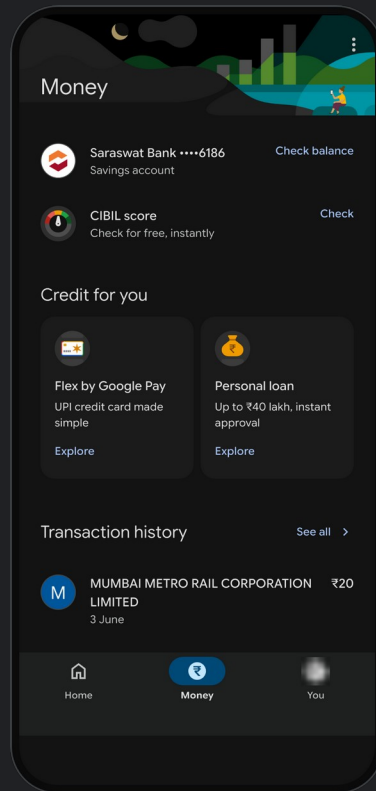
PRODUCT TEARDOWN & CASE STUDY

Google Pay India: from payment app to money relationship

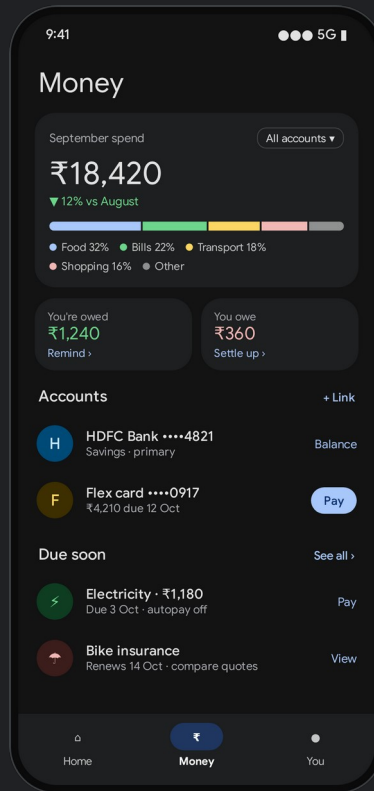
A view across growth, retention, monetization and trust, with five redesigned surfaces and a measurable rollout plan.

Ashutosh Singh

2026



Today



Proposed

Google Pay wins the payment, but loses the money relationship

What I saw

- #2 UPI app with 32.75% share, yet the Money tab is mostly credit offers (2 of 4 modules).
- Splits, bills, rewards and account alerts are scattered across 3 tabs.
- No categories, notes or context on payments, while Paytm auto-tags spends since Sep 2025.

What I propose

- Rebuild Money as a money hub: spend view, accounts, dues.
- Auto-tags + opt-in location memory on every receipt.
- One split ledger, one bills & insurance hub, and Stars redeemable for Google subscriptions.

Why it pays off

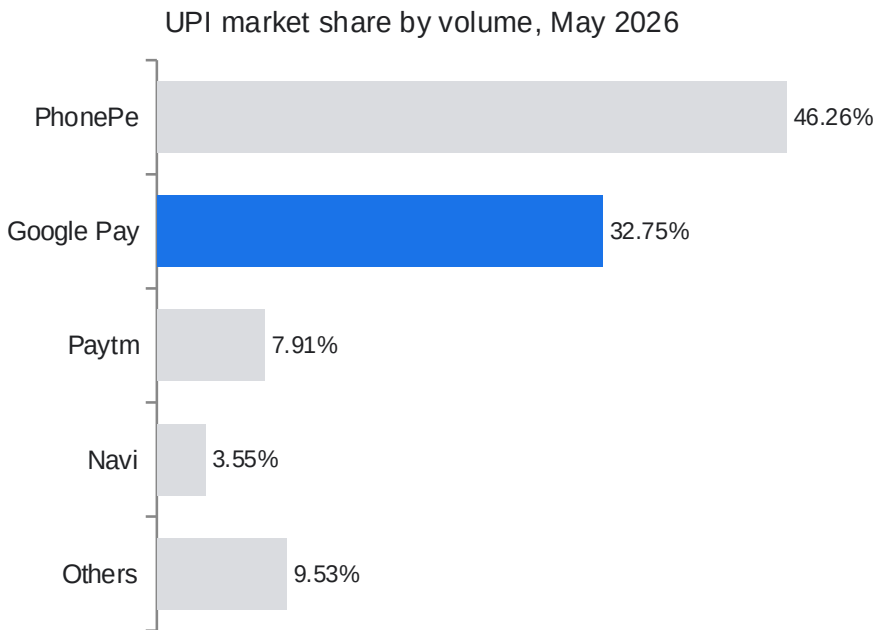
- Engagement beyond P2P is the growth lever as the 30% share cap nears (31 Dec 2026).
- Bills, insurance and credit are the monetizable surfaces; merchant MDR starts 15 Oct 2026.
- North star: Money Actives, users doing ≥ 1 money action beyond sending money.

Five bets, sequenced by confidence and effort

#	Bet	What changes for the user	Angle	Phase
1	Auto-tags & categories	Every payment gets a category and editable tags	Retention	Now
2	Split ledger	"You owe / You're owed" across all groups, one tap to settle	Retention · Trust	Now
3	Bills & insurance hub	Dues, autopay and cover renewals move into Money	Monetization	Next
4	Money hub	Monthly spend, all accounts, what's due, in one tab	Growth · Retention	Next
5	Stars across Google	One reward currency, redeemable for YouTube, Google One, AI plans	Growth · Monetization	Later

Opt-in location memory on receipts ships with bet 1 as an experiment; it is the most novel idea and the highest privacy risk.

Two rule changes make depth, not volume, the next growth lever



0.4%

merchant fee (MDR) on UPI payments to merchants above ₹2,000 from 15 Oct 2026, capped at ₹300. P2P and small merchants stay free.

30%

per-app share cap due 31 Dec 2026, after two deferrals. PhonePe + Google Pay still hold ~80%.

~80%

of UPI volume sits with two apps. Winning the next user matters less than deepening the current one.

Source: NPCI data via TrakinTech (May 2026); NPCI MDR framework coverage (Sep 2026); Reuters (Dec 2024); Whalesbook (Sep 2026).

Three tabs, one strong habit, and revenue that sits outside the habit

WHAT USERS SEE

Home

Pay & scan, People grid, Bills & recharges, Businesses, Offers & rewards

Money

Bank balance, CIBIL score, Credit for you (Flex, personal loan), Transaction history

You

UPI ID & QR, rewards, account alerts, payment methods, Autopay, Pocket money, settings

HOW IT EARNS

P2P & small-ticket UPI

No direct revenue: the habit engine

Bills & recharges

₹3 fee on mobile recharges; 0.5–1% + GST on card-paid bills

Ads & offers

Brand promotions through scratch cards and offers

Credit & insurance distribution

Partner loans, Flex co-branded card (Axis Bank, SBI Card)

NEW · Merchant MDR

0.4% on merchant payments above ₹2,000 from 15 Oct 2026

Source: Google Pay app (June 2026 build); GL Insight (Jun 2026); Business Standard & Google Pay Help on convenience fees; Axis Bank / Google Pay Help on Flex.

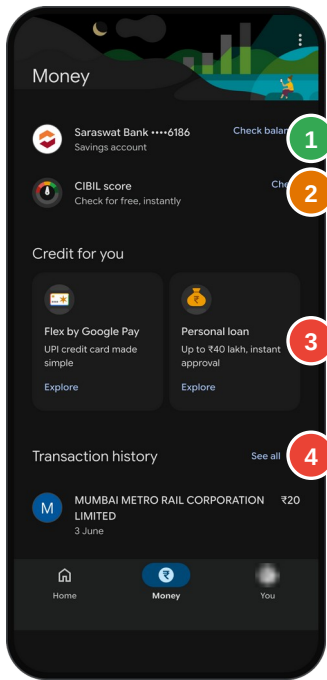
Home nails the payment, then buries the recurring money jobs below the fold



- 1 **Hero space sells a CIBIL check**
The most valuable pixels promote a credit product, not the user's own situation (a bill due, money owed).
- 2 **Core jobs are one tap away**
Scan, pay, bank transfer, recharge. Fast and familiar.
- 3 **People grid drives the P2P habit**
This is Google Pay's real retention engine today.
- 4 **Bills sandwiched mid-scroll**
Recurring, monetizable bills sit between People and Businesses.
- 5 **Businesses list grows without limit**
Every merchant paid becomes a tile (11+ in expanded view).
- 6 **Three entry points, one ₹83 balance**
Rewards, Offers and Referrals split a small value three ways.

● Works ● Friction ● Breaks

The tab called "Money" is mostly a lending storefront



- 1 **Balance check is the one "my money" element**
Useful, but it needs a UPI PIN each time and shows one account.
- 2 **CIBIL check: a good hook, rarely repeated**
Credit health could feed personal insights; today it is a one-off.
- 3 **2 of 4 modules are credit cross-sell**
Flex card and "personal loan up to ₹40 lakh" lead the tab.
- 4 **History is a raw list**
No categories, totals or tags. The same list is also linked from Home.

● Works

● Friction

● Breaks

THE TEST

Can this tab answer three basic questions?

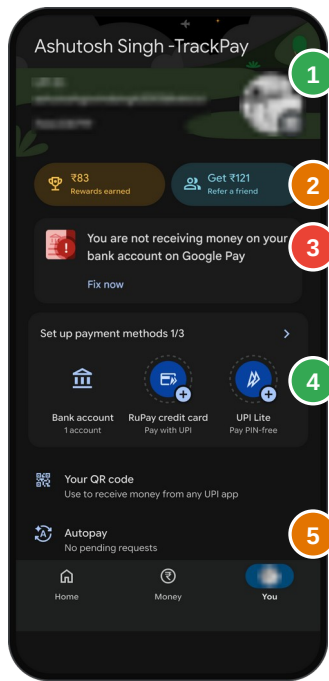
Where did my money go? **No**

Who owes me, and whom do I owe? **No**

What's due next? **No**

Axis Bank directs Flex applicants to this tab, confirming its role as a credit funnel.

A critical account alert and useful tools hide in a profile page



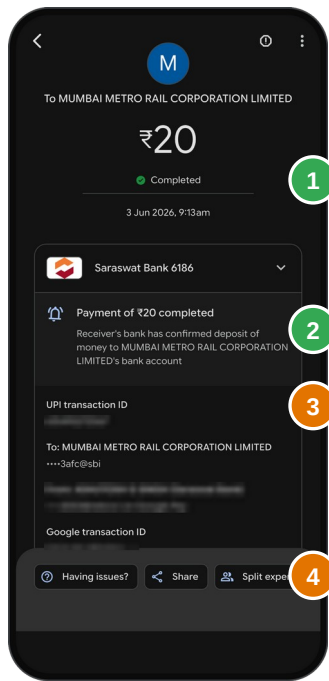
- 1 **Identity, UPI ID and QR are easy to share**
Clear and complete.
- 2 **₹83 earned, no obvious way to use it**
Rewards show value but offer no redemption path worth coming back for.
- 3 **"You are not receiving money on your bank account"**
A problem that costs users money, visible only if they open You.
- 4 **"Set up payment methods 1/3" nudge**
Good activation pattern for RuPay credit card and UPI Lite.
- 5 **Autopay and Pocket money sit in a settings list**
Useful money tools presented like preferences.

● Works

● Friction

● Breaks

The receipt builds trust at payment time, but forgets everything after it



- 1 **Amount, status and time are scannable**
The payment confirms in one glance.
- 2 **"Receiver's bank has confirmed deposit"**
Strong trust copy that removes "did it go through?" anxiety.
- 3 **IDs for disputes, nothing for memory**
No category, note or place, so the receipt can't help later.
- 4 **Split exists, with limits**
Only on payments you started, and only the bill creator receives money.

● Works

● Friction

● Breaks

Source: Google Pay Help: Split bills on Google Pay; app screenshot 3 Jun 2026 (IDs blurred).

THE 90-DAY TEST

Three months from now, would you know what a ₹240 payment to an individual's name was for?

Merchant names like "MUMBAI METRO RAIL CORPORATION LIMITED" are self-explanatory. Payments to people and small shops are not, and they are a large share of UPI.

Three proto-personas with different money jobs



Aarav, 21

Student commuter

USES GOOGLE PAY FOR

Dozens of small payments a month: metro, canteen, friends.

NEEDS

Know where pocket money went; split with roommates.

PAIN

Money runs out mid-month; chasing friends for ₹200 is awkward.



Neha, 34

Household money manager

USES GOOGLE PAY FOR

Pays electricity, postpaid, help staff, groceries, premiums.

NEEDS

One place for dues, reminders and renewals.

PAIN

Bills live across apps; a missed renewal costs real money.



Vikram, 27

Young professional

USES GOOGLE PAY FOR

Salary account plus a credit card; spends on subscriptions.

NEEDS

Rewards that matter; a view of credit health.

PAIN

₹2 scratch cards feel pointless; the card bill is paid elsewhere.

Proto-personas built from the app audit and category research; to be validated with ~12 user interviews in Phase 0.

Four problems, one per angle

GROWTH

Volume growth is capped; engagement beyond P2P is untapped.

Evidence: Two apps hold ~80% of UPI; a 30% per-app cap is due 31 Dec 2026.

RETENTION

Users can't answer "where did my money go?" inside Google Pay.

Evidence: No categories, tags or notes; Paytm has auto-categorized spends since Sep 2025.

MONETIZATION

High-margin surfaces are scattered or pitched without context.

Evidence: Bills on Home, credit on Money, no insurance entry point seen in the tested build.

TRUST

Critical states and social debts are hidden.

Evidence: Receiving-money alert lives on You; split balances sit inside group chats.

Paytm already tags spends; nobody owns "money management" inside UPI yet

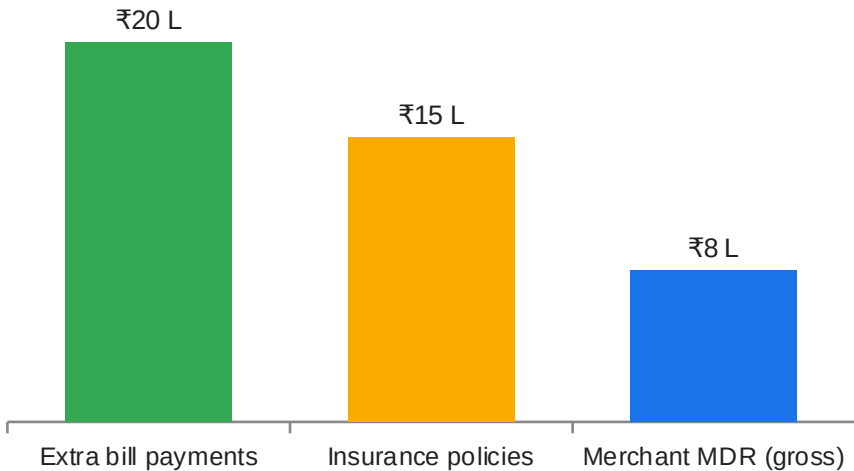
	Google Pay	PhonePe	Paytm	Split apps
UPI share, May 2026	32.75%	46.26%	7.91%	—
Auto spend categories & tags	✗ Not in app	✗ Not built in*	✓ Since Sep 2025, editable	—
Multi-bank balance view	✗ One account at a time	Not assessed	✓	—
Running split balances	✓ Inside group chats	Not assessed	Not assessed	✓ Core, settle via UPI links
Insurance marketplace	✗ No entry point seen	✓ Broker licence since 2021	✓ Paytm Insurance	—
Co-branded credit card	✓ Flex (Axis, SBI Card)	✓	Not assessed	—

*Per a third-party review (MoneyTools, Jan 2026). "Not assessed" = not verified for this deck.

Source: NPCI via TrakinTech (May 2026); Paytm Blog (Sep 2025, upd. Aug 2026); MoneyTools (Jan 2026); Contrary Research; Google Pay Help; PhonePe Play listing; Niptao (Jun 2026).

Per million Money Actives, the upside is roughly ₹5 crore a year before Flex

Monthly revenue per 1M Money Actives (₹ lakh, illustrative)



ASSUMPTIONS

Bills

Reminders add 1 bill payment per user per month × assumed ₹2 net take = ₹20 L

Insurance

0.1% of users buy a policy each month × assumed ₹1,500 commission = ₹15 L

MDR

5% of users shift one ₹4,000 store payment to Google Pay × 0.4% = ₹8 L gross

Total

≈ ₹43 L / month ≈ ₹5.2 crore / year per 1M Money Actives

Source: Illustrative model. Every input is an assumption to replace with internal data; MDR figure is ecosystem gross, Google Pay's share is not public.

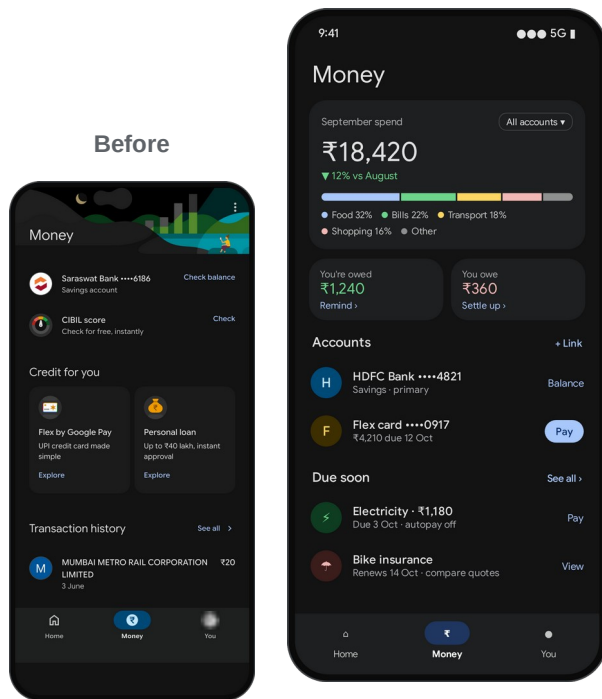
Tags go first: highest score and the data foundation for everything else

Initiative	Reach	Impact	Conf.	Effort	RICE
Auto-tags & categories	9	2	80%	3	4.8
Split ledger	5	2	80%	2	4.0
Bills & insurance hub	6	3	60%	4	2.7
Money hub	8	2	70%	5	2.2
Stars across Google	7	2	50%	6	1.2
Location memory	4	1	50%	2	1.0

HOW TO READ IT

- Reach: relative 1–10 share of monthly users touched.
- Impact: 1 = low, 2 = medium, 3 = high.
- Effort: estimated person-quarters.
- Money hub scores lower alone but gets cheaper once tags and the ledger exist, so it ships next.

Turn the Money tab into the place that answers "how am I doing?"



WHAT CHANGES

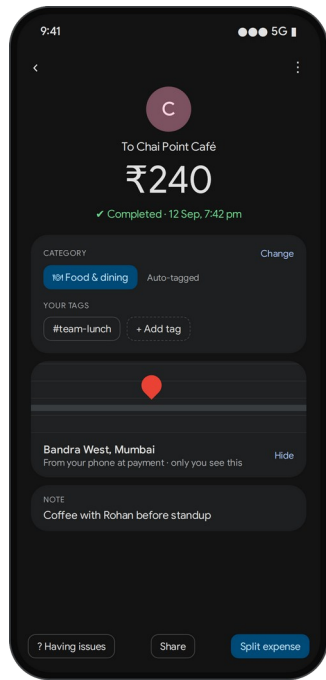
- Monthly spend with a category breakdown, across all linked accounts.
- Split balances as two cards: owed to you, owed by you.
- Accounts and cards together, with dues and a Pay button.
- Credit offers move below the fold and use spend context.

WHY IT WORKS

- Gives users a reason to open Money weekly, not only to pay.
- Context makes credit and insurance offers relevant, not intrusive.

SUCCESS METRIC Money tab weekly actives ↑; credit offer CTR ↑ with dismiss rate flat.

Give every payment a category, a tag and, if the user opts in, a place



WHAT CHANGES

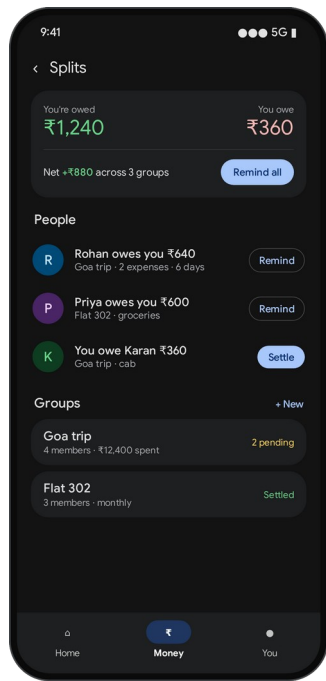
- Auto-category from merchant data, corrected by the user and remembered for that payee.
- Custom tags (#goa-trip, #rent) that roll up in the Money hub.
- Opt-in location from the phone at payment time, visible only to the user.
- A free-text note on any receipt.

WHY IT WORKS

- Answers the 90-day test: users recognise old payments.
- Tags are the data layer for spend insights, budgets and relevant offers.

SUCCESS METRIC % of payments with a category $\geq 80\%$; history searches per user $\uparrow$.

Surface the split balances Google Pay already tracks



WHAT CHANGES

- One ledger across all groups: who owes you, whom you owe, net.
- Remind and Settle buttons on every row; Remind all in one tap.
- Split any payment, including ones someone else paid.
- Entry point on the Money hub, not only inside group chats.

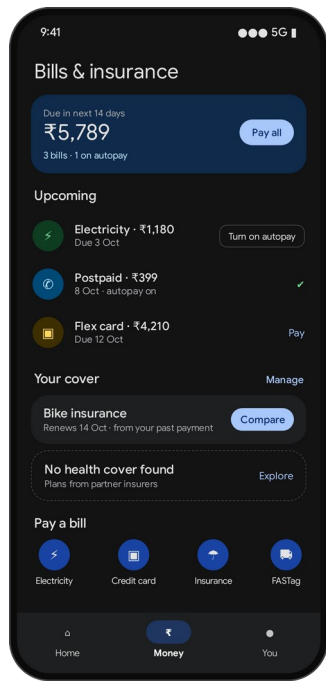
WHY IT WORKS

- The data exists today in each group's expense view; this is a placement fix.
- Settling brings friends back into Google Pay: a built-in growth loop.

SUCCESS METRIC Median time-to-settle ↓; split requests settled within 7 days ↑.

Source: Google Pay Help: Track group expenses; Split bills on Google Pay.

Move recurring money jobs off Home and into one hub



WHAT CHANGES

- All upcoming dues with one total and Pay all.
- Autopay suggestions for bills paid manually 2+ times.
- "Your cover": renewals detected from past premium payments, with partner quotes.
- Home keeps a single "due soon" chip instead of the full grid.

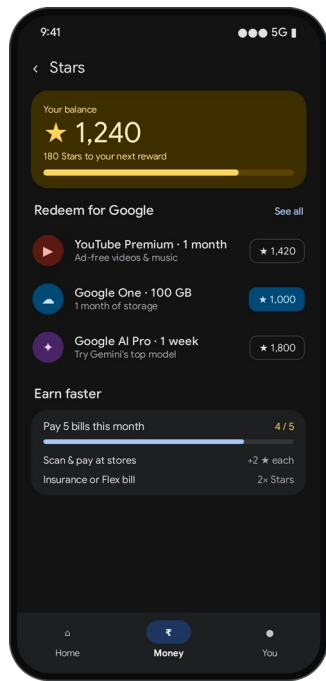
WHY IT WORKS

- Bills and insurance are the highest-margin, highest-intent surfaces.
- Removing the grid from Home shortens the path to People and Pay.

SUCCESS METRIC Bills paid per Money Active ↑; insurance quote-to-purchase rate; Home time-to-pay flat.

Source: Finshots on the PhonePe DRHP (Apr 2026); Google Pay Help: Pay bills.

Replace low-value scratch cards with Stars you can spend on Google



WHAT CHANGES

- Extend Flex's existing Stars currency to all of Google Pay.
- Redeem for YouTube Premium, Google One storage or a Google AI plan trial.
- Earn more on bills, insurance, Flex and store payments above ₹2,000.
- One wallet replaces three entry points (Rewards, Offers, Referrals).

WHY IT WORKS

- Only Google can offer its own subscriptions; rivals can't copy it.
- Rewards fund themselves by targeting the actions that earn revenue.

SUCCESS METRIC Redemption rate ↑; cost per incremental Money Active below reward budget.

Source: Google Pay Help: Introducing Flex (Stars); MediaBrief (1 Star = ₹1 on Flex).

More context means more responsibility: guardrails ship with the features

Location

Off by default, explicit opt-in, visible only to the user, one-tap delete, never used for ads.

Spend data

Categories computed for the user's own view; any use for offers needs separate consent.

Offers

"Why am I seeing this?" on every credit or insurance card; partner and licence named.

Account health

Receiving failures and blocked mandates move to the top of Home, not the You tab.

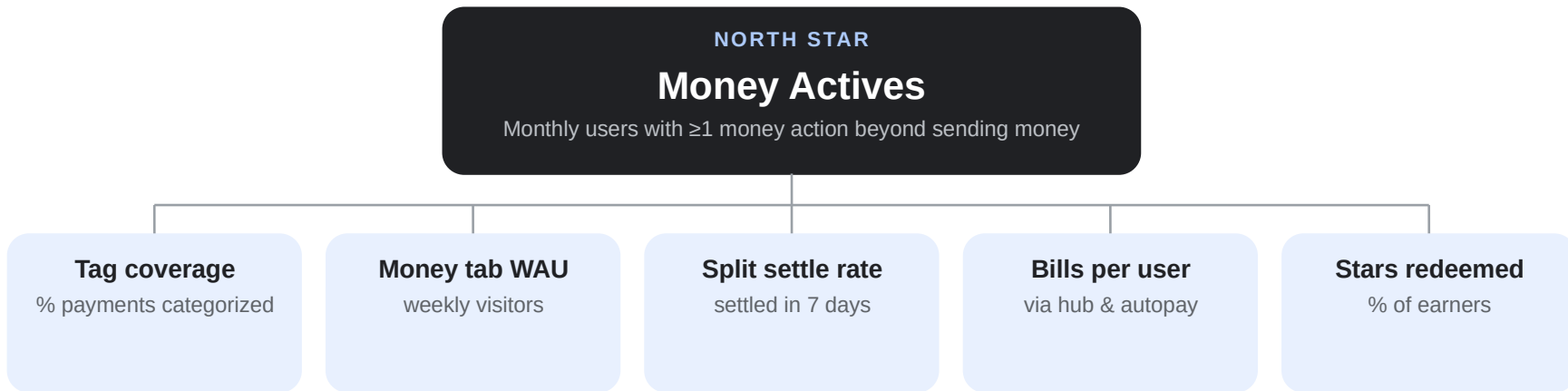
Splits

Reminders rate-limited and polite by default; users can mute a person or group.

Compliance

Credit and insurance flows reviewed against RBI and IRDAI distribution rules before launch.

One north star, five inputs, four guardrails



GUARDRAILS



Validate the riskiest assumptions before scaling

Phase	Test	Hypothesis	Primary metric	Success bar*
0 · 4 wks	Discovery	Users want spend context; coupons are rarely redeemed	Interview themes, log data	8 of 12 interviews confirm
1 · 5% A/B	Auto-tags + receipts	Categories bring users back to history	History visits / user	+15% vs control
1 · 1% opt-in	Location memory	Users opt in when value is clear	Opt-in rate, opt-outs	≥20% opt-in, <2% complaints
2 · 10% A/B	Split ledger + bills hub	Visible dues raise settlement and bill payments	Settle rate, bills / user	+10% each
3 · 2 cities	Stars pilot	Google rewards beat cashback per rupee spent	Cost per incremental Money Active	Below cashback baseline

**Success bars are starting hypotheses to calibrate against internal baselines; every test holds out a control group.*

Now, next, later

NOW

Q4 2026

Auto-tags, categories, notes

Receiving-money alert on Home

Split ledger card on Money

Location memory, 1% opt-in test

NEXT

H1 2027

Money hub with spend insights

Bills & insurance hub

Autopay suggestions

Partner insurance quotes

LATER

H2 2027

Stars across Google Pay

Redeem for Google subscriptions

Budgets and alerts

Multi-bank view via Account
Aggregator

What could go wrong, and how we'd know early

Risk	Severity	Mitigation
Privacy backlash on location or spend data	High	Off by default, user-only visibility, separate consent for offers; opt-out guardrail
Home gets slower or more cluttered	Med	Remove the bills grid; time-to-pay is a hard guardrail
Wrong categories erode trust	Med	Confidence threshold; one-tap correction remembered per payee
Rewards cost outruns revenue	Med	Budget caps; earn weighted to revenue actions; city pilot first
Regulation shifts (share cap, lending, insurance rules)	Med	Partner-led distribution; compliance review per launch
Money tab steals time from payments	Low	Track total sessions and payments per user, not tab share

Sources

1. NPCI UPI app market share, May 2026, via TrakinTech on X (Jun 2026) and StartupFeed (May 2026)
2. Whalesbook, "UPI market share cap: 30% limit faces hurdle" (Sep 2026); Reuters via MarketScreener on cap deferral (Dec 2024)
3. NPCI MDR framework coverage: MSN / WION, IAS Current Affairs, Entrepreneur Loop (Sep 2026)
4. Business Standard; Inc42; Google Pay Help "Pay bills using Google Pay" (convenience & platform fees)
5. Axis Bank press release & card page; Google Pay Help "Introducing Flex by Google Pay"; MediaBrief (Dec 2025)
6. GL Insight, "Google Pay launches UPI-linked credit card" (Jun 2026) on revenue streams
7. Google Pay Help: "Track group expenses", "Split bills on Google Pay"
8. Paytm Blog, automatic spend categorization (Sep 2025, updated Aug 2026); MoneyTools on PhonePe (Jan 2026)
9. Finshots, "Breaking down the PhonePe DRHP" (Apr 2026); Contrary Research, PhonePe
10. Niptao blog on Google Pay split limits (Jun 2026)

NOTES

- App screenshots: Google Pay India, June 2026 build. Personal details blurred.
- Redesigns are concepts with fictional data.
- Sizing, RICE scores and success bars are labelled assumptions.
- Not affiliated with Google.